



UNITED STATES
NUCLEAR REGULATORY COMMISSION
REGION III
2056 WESTINGS AVENUE, SUITE 400
NAPERVILLE, IL 60563-2657

June 23, 2025

Mike Mlynarek
Site Vice President
Holtec Decommissioning International, LLC
Palisades Nuclear Plant
27780 Blue Star Memorial Highway
Covert, MI 49043-9530

SUBJECT: PALISADES NUCLEAR PLANT – RESTART SECURITY INSPECTION
REPORT 05000255/2025402

On May 20, 2025, the U.S. Nuclear Regulatory Commission (NRC) completed an inspection at Palisades Nuclear Plant and discussed the results of this inspection with Michael Schultheis – Director, Regulatory & Site Strategies and other members of your staff. The results of this inspection are documented in the enclosed report.

No findings of more than minor significance were identified during this inspection.

On June 13, 2022, Palisades ceased permanent power operations and subsequently removed all fuel from the reactor, as detailed in the letter from Entergy to the NRC, “Certifications of Permanent Cessation of Power Operations and Permanent Removal of Fuel from the Reactor Vessel,” (ADAMS Accession No. [ML22164A067](#)). On September 28, 2023, Holtec Decommissioning International, LLC (Holtec) submitted a letter to the NRC requesting exemptions from certain portions of the requirements of Title 10 of the *Code of Federal Regulations* (10 CFR) 50.82(a)(2) to pursue the potential reauthorization of power operations at Palisades (ADAMS Accession No. [ML23271A140](#)). The NRC’s initial acceptance to review Palisades’ request for exemptions was documented in ADAMS at Accession No. [ML23291A440](#) on November 3, 2023.

This letter, its enclosure, and your response (if any) will be made available for public inspection and copying at <http://www.nrc.gov/reading-rm/adams.html> and at the NRC Public Document Room in accordance with Title 10 of the *Code of Federal Regulations* 2.390, "Public Inspections, Exemptions, Requests for Withholding."

Sincerely,



Signed by Ziolkowski, Michael
on 06/23/25

Michael E. Ziolkowski, Chief
Security, Emergency Preparedness, and Incident
Response Branch
Division of Radiological Safety and Security

Docket No. 05000255
License No. DPR-20

Enclosure:
As stated

cc w/ encl:
M. Schultheis
Director, Regulatory & Site Strategies
S. Summers,
Manager, Security
D. Gagnon,
Director, Corporate Security
A. Filbrandt,
Supervisor, Regulatory Assurance & Records

cc w/ encl: Distribution via LISTSERV®

Letter to M. Mlynarek from M. Ziolkowski dated June 23, 2025.

SUBJECT: PALISADES NUCLEAR PLANT – RESTART SECURITY INSPECTION
REPORT 05000255/2025402

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ADAMS ACCESSION NUMBER:ML25171A029

Entire Report: ☒ SUNSI Review		☒ Non-Sensitive ☐ Sensitive			☒ Publicly Available ☐ Non-Publicly Available	
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DATE	06/23/2025	06/23/2025	06/23/2025	06/23/2025		

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U.S. NUCLEAR REGULATORY COMMISSION
Inspection Report

Docket Number: 05000255

License Number: DPR-20

Report Number: 05000255/2025402

Enterprise Identifier: I-2025-402-0044

Licensee: Holtec Decommissioning International, LLC

Facility: Palisades Nuclear Plant

Location: Covert, MI

Inspection Dates: May 12, 2025, to May 20, 2025

Inspectors: K. Maloney, Sr. Physical Security Inspector
J. Rey, Security Specialist

Approved By: Michael E. Ziolkowski, Chief
Security, Emergency Preparedness, and Incident Response Branch
Division of Radiological Safety and Security

Enclosure

SUMMARY

The U.S. Nuclear Regulatory Commission (NRC) continued monitoring the licensee's performance by conducting a Restart Security Inspection at Palisades Nuclear Plant, in accordance with Inspection Manual Chapter (IMC) 2562, "Light-Water Reactor Inspection Program for Restart of Reactor Facilities Following Permanent Cessation of Power Operations."

List of Findings and Violations

No findings of more than minor significance were identified.

Additional Tracking Items

None.

INSPECTION SCOPES

Inspections were conducted using the appropriate portions of the inspection procedures (IPs) in effect at the beginning of the inspection unless otherwise noted. Currently approved IPs with their attached revision histories are located on the public website at <http://www.nrc.gov/reading-rm/doc-collections/insp-manual/inspection-procedure/index.html>. Samples were declared complete when the IP requirements most appropriate to the inspection activity were met consistent with Inspection Manual Chapter (IMC) 2562, "Light-Water Reactor Inspection Program for Restart of Reactor Facilities Following Permanent Cessation of Power Operations," which states, in part, that the U.S. Nuclear Regulatory Commission (NRC) will ensure that operational readiness has been reasonably verified across the reactor oversight process (ROP) cornerstones of safety and security.

SECURITY CORNERSTONE

81000.01 - Access Authorization

The inspectors evaluated the access authorization program through completion of the following procedure elements:

Access Authorization (36 Samples)

- (1) All requirements

During the inspection the inspectors verified the licensee has developed and is implementing or is prepared to implement its access authorization program, behavioral observation program, insider mitigation program and measures to ensure that its AA program provides assurance that individuals granted unescorted access are trustworthy, reliable, and do not constitute an unreasonable risk to public health and safety or the common defense and security. The inspectors familiarized themselves with relevant documentation which may include, but is not limited to the licensee's security plans, site-specific and/or corporate implementing procedures, security post orders, and security program reviews and audits. The inspectors also conducted a review of past security inspection reports for the facility, to a level which provides assurance that the licensee is meeting or prepared to meet the NRC regulatory requirements within the security program area being inspected.

81000.08 - Fitness-for-Duty Program

The inspectors evaluated the fitness for duty program through completion of the following procedure elements:

Fitness-for-Duty Program (50 Samples)

- (1) All requirements

During the inspection the inspectors verified the licensee has developed and is implementing or is prepared to implement its Fitness-for-Duty (FFD) requirements under Title 10 of the *Code of Federal Regulations* (10 CFR) Part 26 (Subparts A through H, I, N, and O), and any other applicable requirement that assures licensee personnel (including contractors and vendors) will perform their tasks in a reliable and trustworthy manner and are not under the influence of any substance or mentally or physically impaired from any cause that may affect their abilities to

perform their duties safely and competently. Inspectors verified that changes to the licensee's FFD program made since the last inspection: (a) meet commitments to resolve previously identified issues or U.S. Nuclear Regulatory Commission (NRC) requirements under 10 CFR Part 26; and (b) do not adversely affect the performance requirements as prescribed by regulatory requirements and any other applicable requirements to meet the general performance objectives of 10 CFR 73.55(b).

INSPECTION RESULTS

No additional inspection results. The inspectors determined the licensee implementation of the programs is currently meeting all regulatory requirements. Based on this review, the inspectors found that the programs would meet all operating requirements.

EXIT MEETINGS AND DEBRIEFS

The inspectors verified that no proprietary information was retained or documented in this report.

- On May 20, 2025, the inspectors presented the Restart Security Inspection results to Michael Schultheis, Director, Regulatory & Site Strategies and other members of the licensee staff.

DOCUMENTS REVIEWED

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
81000.01	Corrective Action Documents Resulting from Inspection	PAL-07040	Paperwork Error Identified	05/13/2025
		PAL-07092	Access to Vital Area Discrepancy	05/16/2025
	Procedures	EN-NS-101-01	AA/FFD Facility Controls	3
		EN-NS-101-04	Processing Potentially Disqualifying Information (PDI)	6
		EN-NS-101-105	Maintaining UAA/UA and Critical Group Status	7
		EN-NS-101-106	Terminating Denial and Appeal of Unescorted Access Authorization/Unescorted Access	8
		SEC-400	Unescorted Access Authorization Program	0
81000.08	Corrective Action Documents Resulting from Inspection	PAL-07039	Unsecured Door Allowing Access to FFD Testing Equipment	05/13/2025
		PAL-07065	FFD Blind Test Samples Not Sent per Procedural Requirement.	05/14/2025
		PAL-07067	Fatigue Assessment Paperwork Documentation Errors Identified	05/14/2025
	Miscellaneous		50 Employee Records Establishing Initial, Updated, Reinstatement, Reinvestigation and Critical Group UAA	05/14/2025
	Procedures		Fitness for Duty/Access Authorization Assessment	0
		Admin 1.45	Work Hours Limitations	2
		DSP-SEC-102	Fitness for Duty Specimen Collection and Shipment	1
		DSP-SEC-102	Fitness for Duty Program	1
		DSP-SEC-102-01	Fitness for Duty Random and Follow-up Testing Selection and Notification	1
		DSP-SEC-102-03	Processing of Fitness for Duty Test Results	1
		DSP-SEC-102-04	Blind Samples	1
		DSP-SEC-102-05	Annual Reporting of Fitness for Duty Performance Data	1
		EN-NS-101-04	Processing Potentially Disqualifying Information (PDI)	6
		FF-000	Holtec Nuclear FFD Program Statement of Policy	2